Wapic Insurance Plc.

Investors' Call Presentation

FY 2017 Results

Participants

Yinka Adekoya
Managing Director, Wapic Insurance Plc.

Dayo Arowojolu
Managing Managing Director, Wapic Insurance Ghana Ltd.

Adewale Koko
Executive Director, Technical Division (Wapic Life)

Bode Ojeniyi
Executive Director, Sales & Distribution

Olufemi Obaleke
Executive Director, Subsidiaries

Peter Ehimhen
CRO/Executive Director, Technical Division

Zina Giwa-Amu
Head, Digital Division

Seyi Taiwo
Chief Financial Officer

Outline

About Wapic

Operating Environment

Regulatory Environment

Financial Overview

Outlook

Creating sustainable value

3 Operating entities

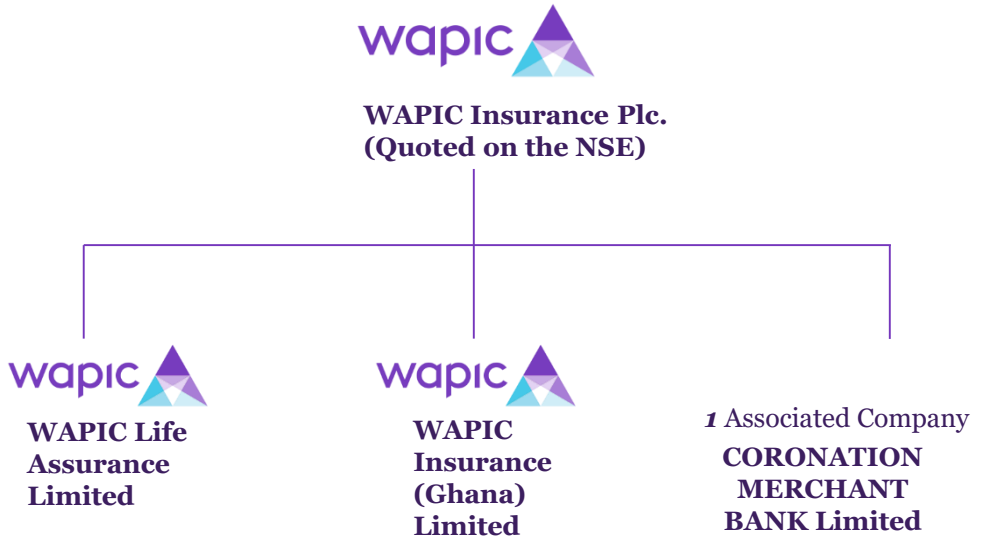
206 Professional Staff

13.4 Billion ordinary shares of 50 kobo each in issue

850,000+
Shareholders

N28billion
Portfolio

N18 billion
Assets Under Management

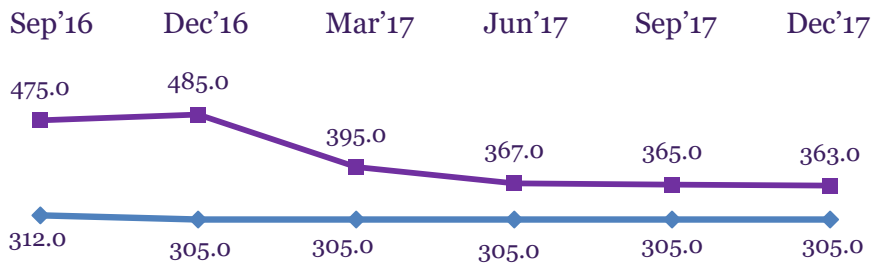


Regional offices in Nigeria	Abuja, Benin, Enugu, Ibadan, Port Harcourt, Kano
Listings	• Nigerian Stock Exchange • GDR Depositary Bank - Bank of New York, Mellon
Market Capitalisation	N7 Billion
Ratings (AM Best)	• C++ (Financial Strength Rating) • b+ (Issuer Credit Rating)
Reinsurers	Munich Re, Africa Re, WAICA Re, Continental Reinsurance, Nigeria Reinsurance Corporation, Ghana Re.
Actuaries	EY, QED
Auditors	PwC

© WAPIC INSURANCE PLC

Operating environment

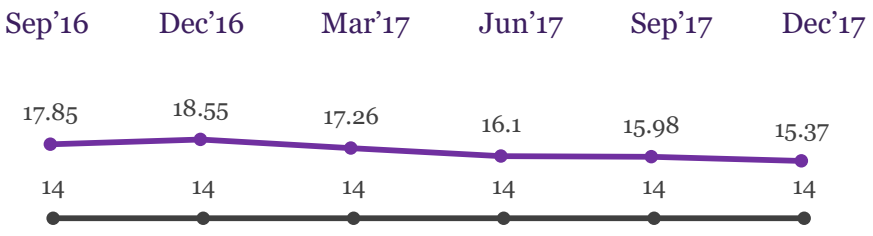
FX Rate N/$



Average Naira Exchange rate has been reasonably stable within the past two quarters. The BDC rate closed at about N363/$ in Dec'17.
The currency market is projected to maintain recent stability amid sustained accretion to external reserves, positive outlook for oil export following OPEC deal extension into 2018 and continued effectiveness of the I&E window.

Official Rate — Parallel Mkt —

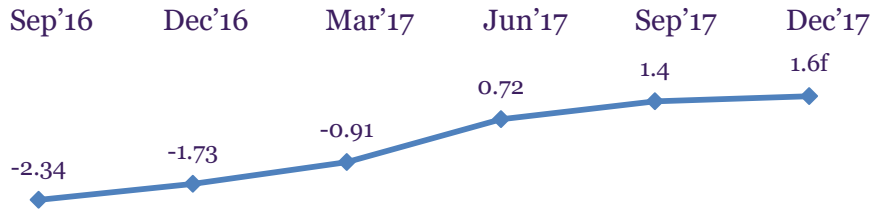
Inflation, MPR



The Central Bank of Nigeria left its benchmark interest rate unchanged at 14 percent in line with market expectations.
There has been a consistent drop in inflation rate from April 2016 with the lowest level recorded in December 2017 at 15.37%. The stable currency and positive growth in oil price was largely accountable for the improved performance

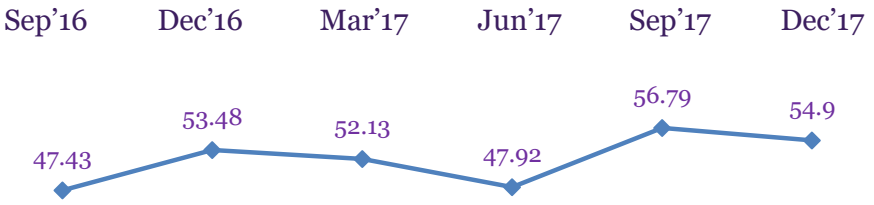
Inflation — MPR —

GDP Growth %



The Nigerian economy advanced 1.4 percent YoY in the third quarter of 2017, accelerating from an upwardly revised 0.72 percent growth in the previous period. This represents the second consecutive quarter of expansion has oil production continues to recover. GDP is estimated at 1.60% for Dec'17.

Crude Oil $/barrel



Nigeria crude oil price was reported at US$56.79/barrel in September 2017. In November 2017, the price hit a 28-month high of US$64/barrel more than US$19 higher than the country's oil price benchmark of US$44.5/ barrel for the year's budget.

Source: CBN, National Bureau of Statistics (NBS), Business Monitoring International (BMI), Trading Economics

© WAPIC INSURANCE PLC

Regulatory and industry environment

The National Insurance Commission (NAICOM) has reiterated its plan to further grow the Nigerian insurance industry by 2020 by collaborating with state governments to ensure the effective implementation of the second phase of the Market Development and Restructuring Initiative (MDRI). The MDRI is aimed at addressing issues of compulsory insurance products, insurance agency system, fake insurance institutions and risk based supervision.

On January 1, 2018, the Insurance Commission released a revised micro insurance guidelines for the underserved and excluded segment of the populace. The commission said the guideline was also introduced as part of the financial inclusion strategy to stimulate growth in the insurance subsector especially the retail end of the market and drive insurance penetration

Securities and Exchange Commission (SEC), Nigeria's apex capital market regulator, has established a Nigerian Capital Market Development Fund (NCMDF) to foster the development of the capital market through promotion of innovative products, inclusive participation and investor education.

The Central Bank of Nigeria, CBN, has set state-by-state target for the 21 commercial banks and 942 Micro finance banks in the country to ensure that every Nigerian adult has access to financial services. The target for banks was set because the CBN planned to achieve 80 per cent financial inclusion by 2020, yet two years to the deadline, the country had only achieved 41.6 per cent.

NAICOM, as part of its efforts to curb the increasing challenge of rate cutting in the industry released approved rates for compulsory classes of insurance to operators. This insurances include Group Life, Builders' Liability, Occupier's Liability, Motor Third Party and Healthcare Professional Indemnity Insurance. According to the commission, they shall strictly monitor and enforce compliance going forward.

© WAPIC INSURANCE PLC

Outline

Financial Highlights

Income Statement Review

SOFP Review

Assets under Management

Group financial highlights

	NGN million	2017	2016		%Δ
Earnings	Total Income	13,621	12,394	↑	+10
	Gross Written Premium	9,808	8,005	↑	+23
	Net Underwriting Income	6,335	4,943	↑	+28
	Total Underwriting Expenses	4,799	4,563	↑	+5
	Underwriting profit	1,536	381	↑	+304
	Net Investment & Other Income	3,130	3,737	↓	-16
	Expenses & Provisions	4,432	4,150	↑	+7
	Profit before Tax	1,623	1,193	↑	+36
	OPEX ratio	45%	52%	↓	-13
	Net claims ratio	54%	67%	↓	-19
	Earnings Per Share (Kobo)	11	4	↑	+175
		2017	2016		%Δ
Financial Position	Financial Assets	9,496	7,401	↑	+28
	Reinsurance Assets	1,586	1,573	↑	+1
	Total Assets	28,605	25,902	↑	+10
	Total Liabilities	10,647	9,336	↑	+14
	Shareholders' Funds	17,958	16,566	↑	+8
	Solvency Ratio	285%	266%	↑	+7
	ROA	6%	5%	↑	+23
	ROE	8%	4%	↑	+141

© WAPIC INSURANCE PLC

Outline

Financial Highlights

Income Statement Review

SOFP Review

Assets under Management

Income statement review

NGN million

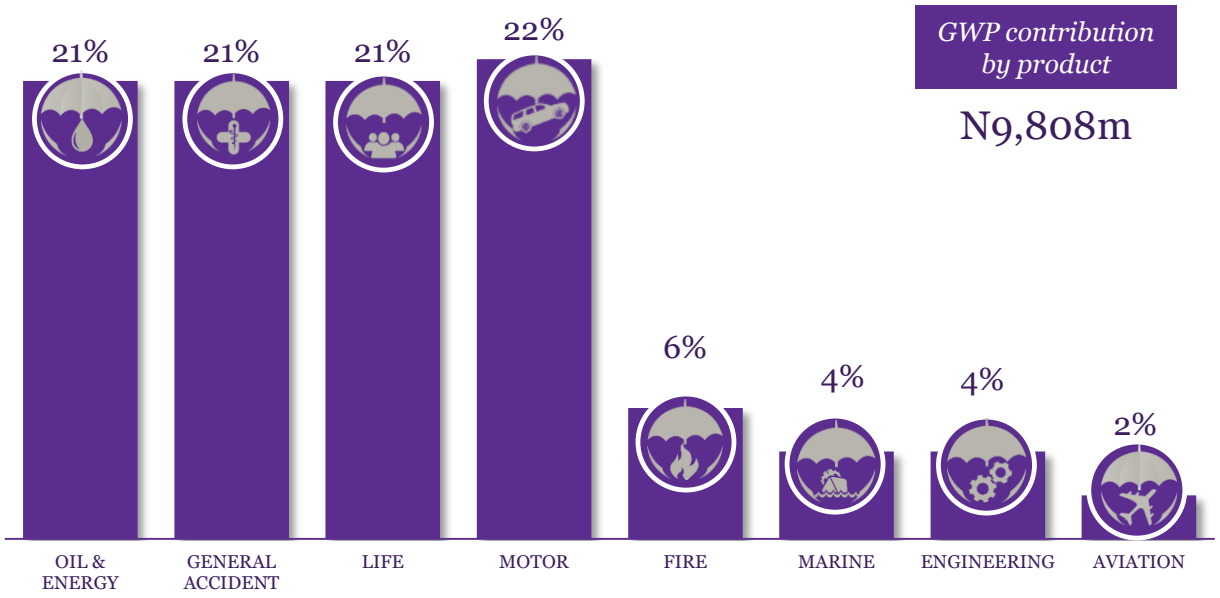
	2017	2016	%Δ
Gross Written Premium	9,808	8,005	+23
Reinsurance expenses	3,937	3,295	+19
Net claims expenses	3,062	2,869	+7
Underwriting expenses	1,758	1,681	+5
Underwriting profit	1,536	381	+304
Investment income	1,256	1,018	+23
Other operating income	1,165	2,334	-50
Operating expenses	4,432	4,150	+7
Profit before tax	1,623	1,193	+35

Highlights

- GWP increased to N9.8bn at the end of the financial year 2017, a 23% growth from the N8bn achieved in the prior year.
- Driven by an increase in facultative reinsurance to balance exposure on specific risks particularly in the Oil and Energy and General Accident portfolios, year on year Reinsurance expenses grew by 19% to N3.9bn as at Dec'17 from N3.3bn in Dec'16.
- Net Claims and Underwriting expenses grew by 7% and 5% year on year, respectively for the period.
- Underwriting profit grew by a commendable 304%, from N381m recorded in the prior year to N1.54bn for the period.
- Other Operating Income dipped by 50% in 2017 to N1,165m from the prior period position of N2,334m. This is mainly driven by the foreign exchange gains recorded in 2016.
- Operating expenses (inclusive of personnel costs and provisions) grew slightly by 7% for the period.

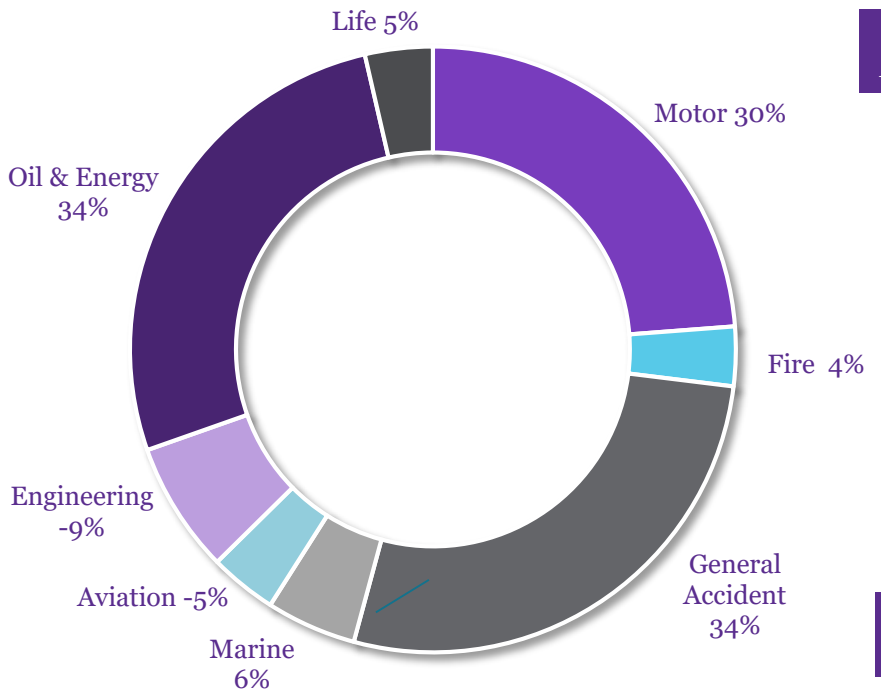
© WAPIC INSURANCE PLC

Product performance



GWP contribution by product

N9,808m



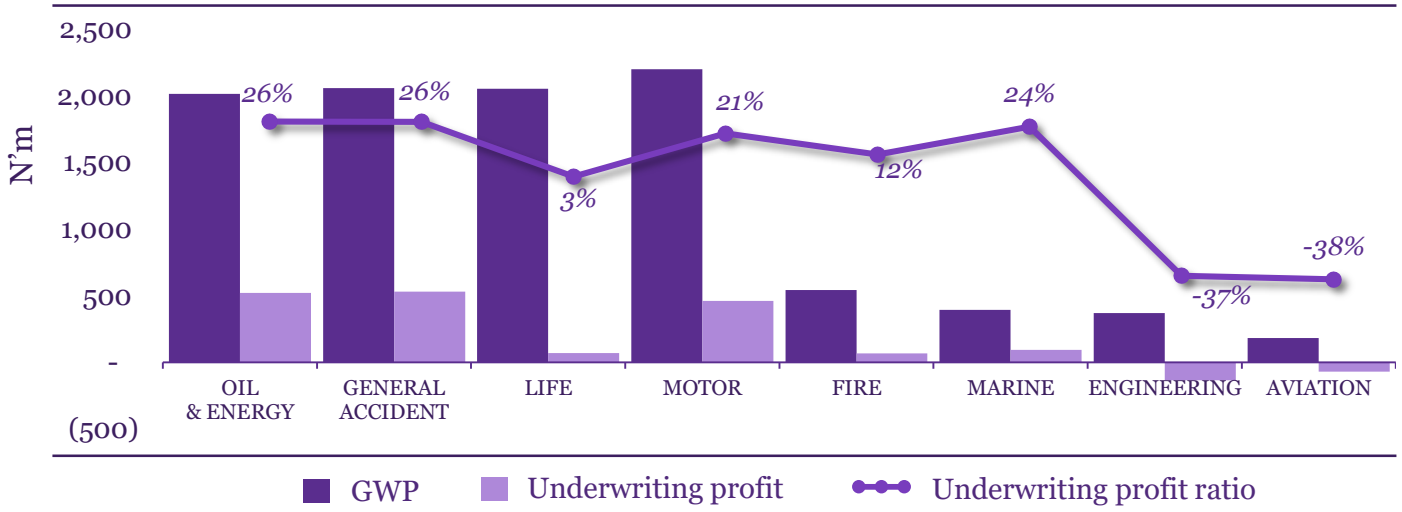
Underwriting Profit by product

N1,522m

Highlights

- Motor, Oil & Energy, Life and General Accident were the top performing product portfolios in 2017 with Motor being the highest performer at 22% share.
- General Accident as well as Oil & Energy were the Group's most profitable products, leading with a 34% respective contribution to the total underwriting profit. They are closely followed by Motor at 30%.
- The increased growth and profitability of the motor portfolio is evidence of the company's commitment to driving the flagship motor product, MOOV.

Underwriting profit margin



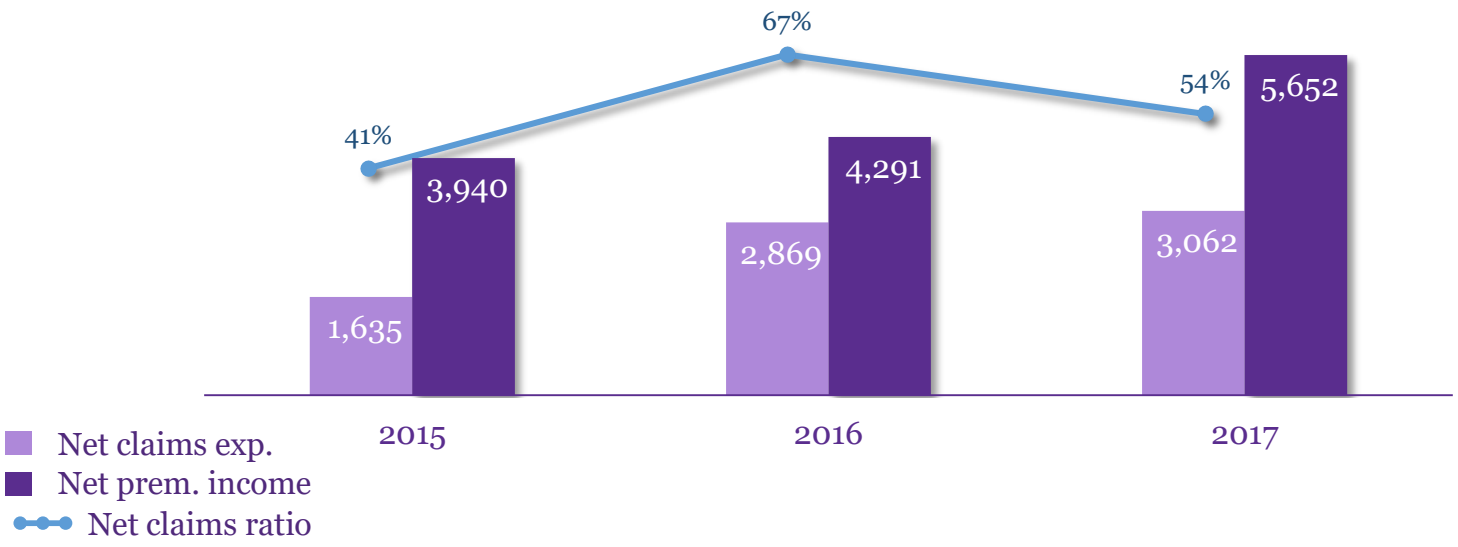
© WAPIC INSURANCE PLC

Group expenses

NGN million

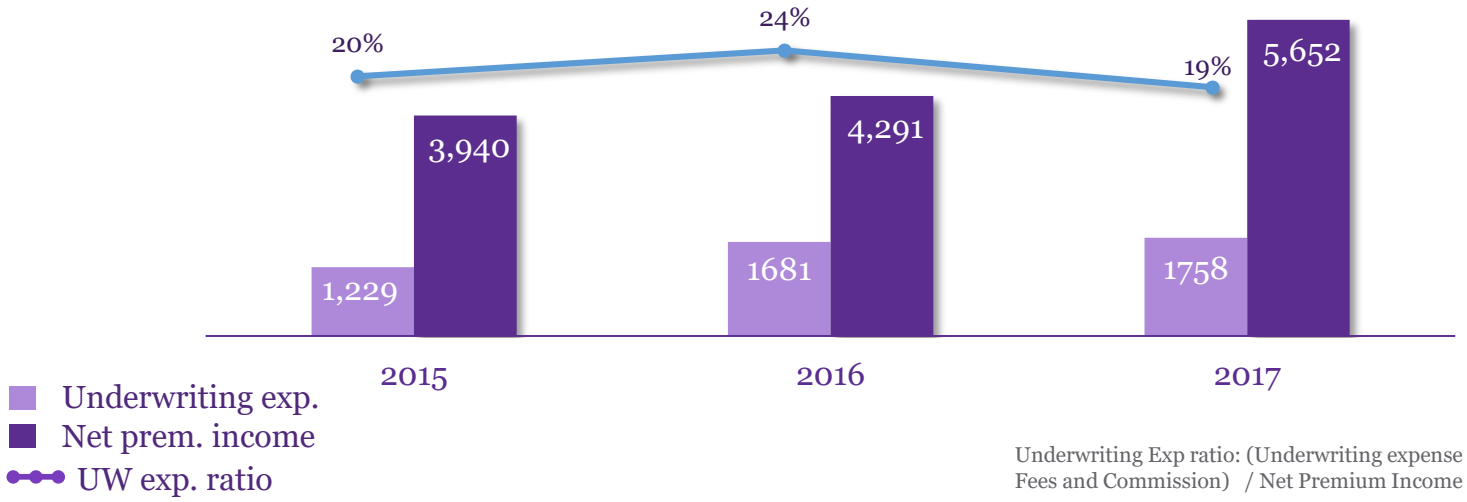
Net claims expenses

- The improvements in our risk selection process contributed to the fairly stable Net Claims expenses which grew mildly by 7% YoY to close at N3bn in 2017 (FY'16: N2.9bn).
- Increase in Net Premium income further cushioned the Net Claims Ratio which dropped by 19% from the preceding year's ratio to 54% in 2017.



Underwriting expenses

- The drive for improved efficiency paid off as underwriting expense grew only by a slight proportion to N1.76bn in 2017 from N1.68bn recorded in the prior year.
- An improved topline performance for the period coupled with a better-quality efficiency pushed the underwriting expense ratio down to 19% from 24% in the preceding year.



Underwriting Exp ratio: (Underwriting expense less Fees and Commission) / Net Premium Income

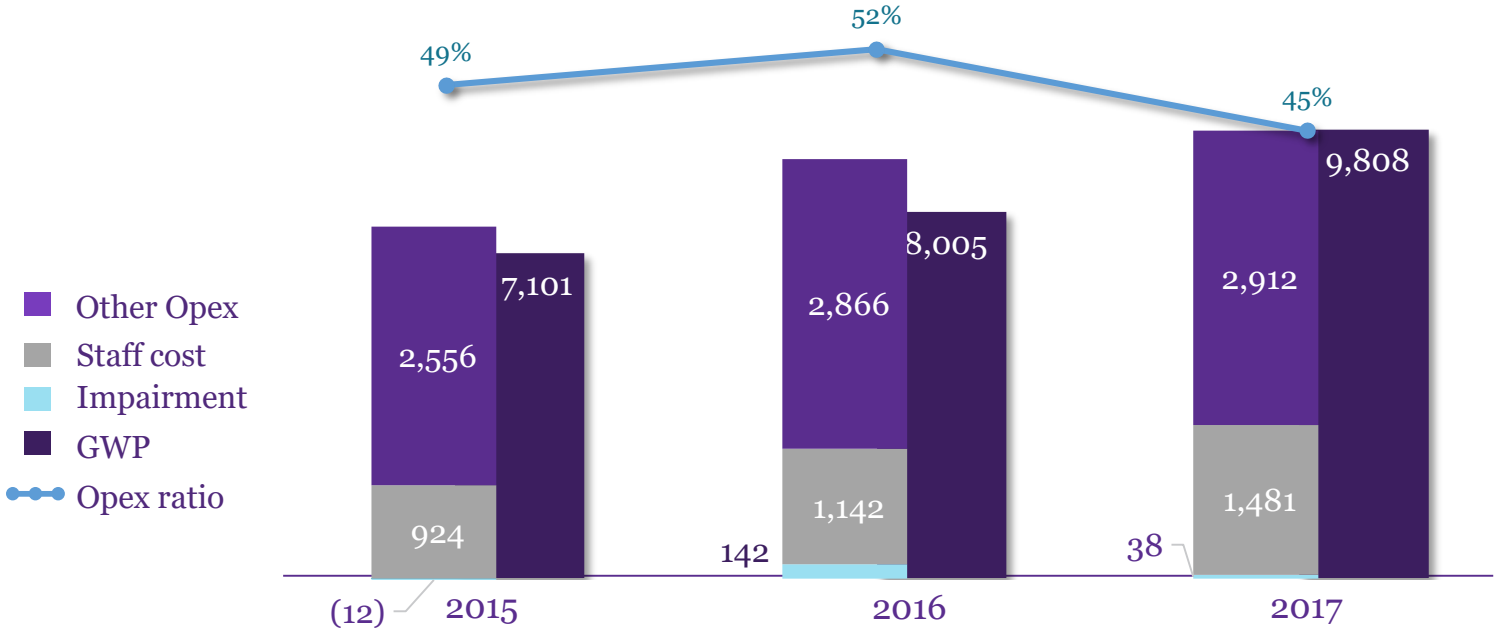
© WAPIC INSURANCE PLC

Group expenses

NGN million

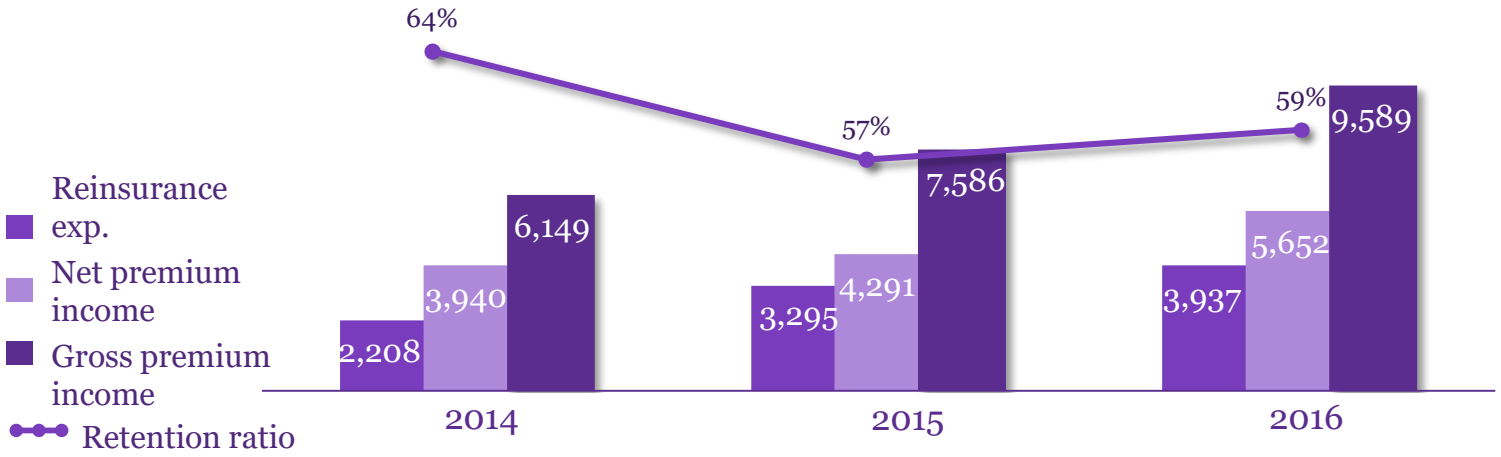
Operating expenses

- The Group's cost optimization efforts continues to pay off as Total expenses remained relatively stable with a 6% increase in 2017 to N4,432m from N4,150m recorded in 2016.
- Opex ratio closed at 45%, a reduction from the 52% recorded in 2016 owing to an improved topline performance and stability in overall operating expenses during the year.



Reinsurance expenses

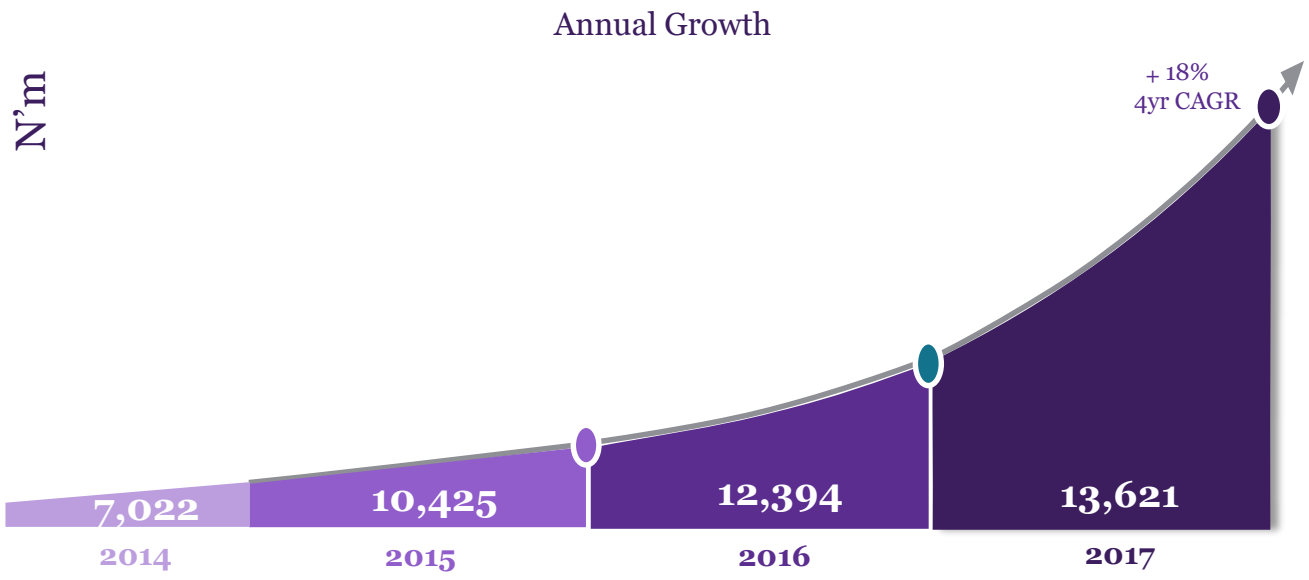
- Reinsurance expenses grew to N3.9bn, a 19% YoY growth from N3.3bn in 2016.
- We have optimized our reinsurance processes to adequately manage underwriting expenses, benefits we expect to continue in 2018.



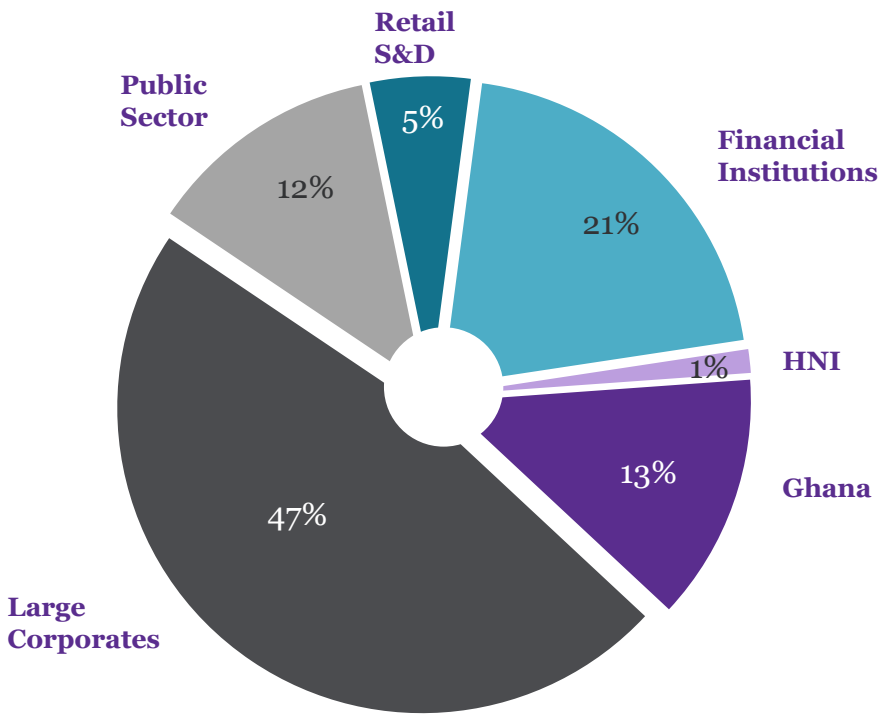
© WAPIC INSURANCE PLC

Revenue

Group Total Income



GWP contribution by Business Groups



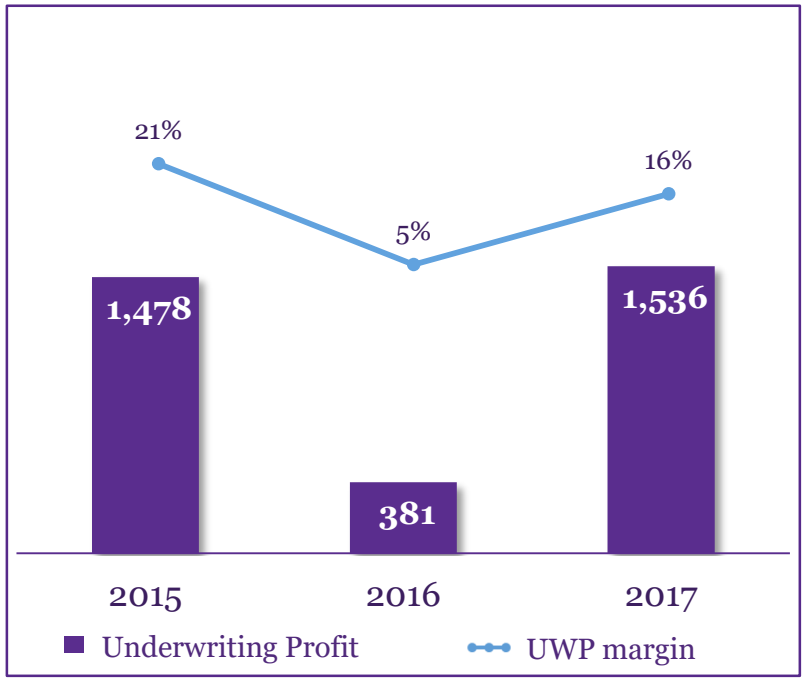
Total Income: GWP + Fees and Commission income + Net Investment Income + Other Operating Income

- Wapic's Total income grew by 10% YoY to close at N13.6bn for the financial year 2017 (2016: N12.4bn). The group continued on its strong growth trajectory through the year recording a 18% 4-year cumulative annual growth rate.
- Ghana's effective awareness drive continues to payoff as evidenced in an increasing share of the Ghanaian insurance market space. The West African subsidiary contributed 13% to the Group's total GWP for the period.
- Large Corporates group contributed the largest chunk of premium at 47%, followed by Financial Institutions group at 21%.
- Wapic has repositioned its Retail group to ensure a successful implementation of its re-invented retail market penetration strategy. A larger contribution from this segment is expected in 2018.

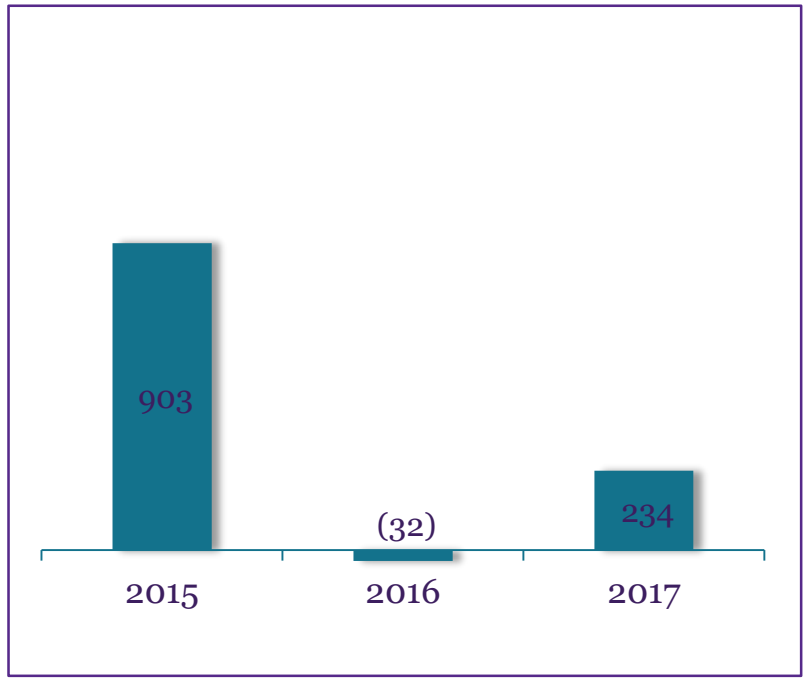
© WAPIC INSURANCE PLC

Group profit position

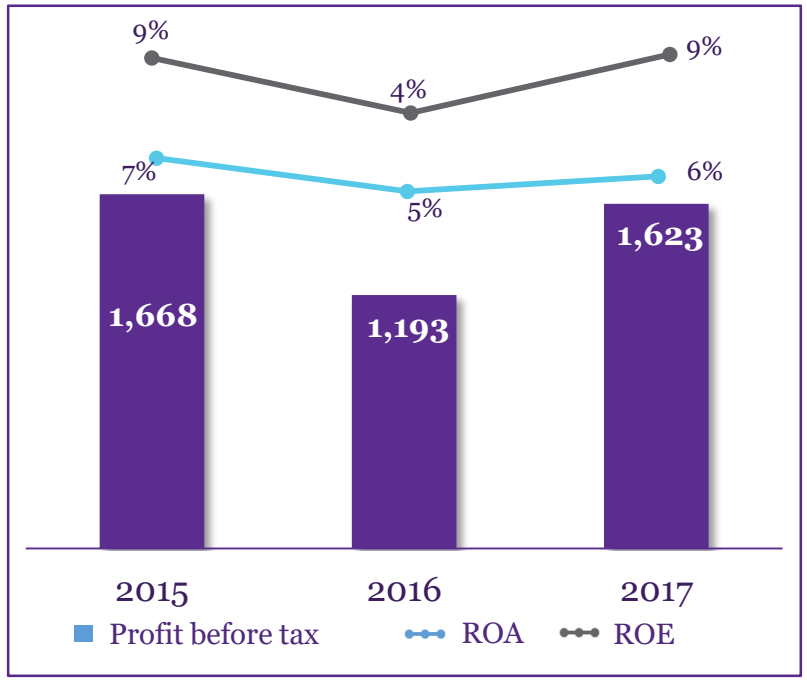
N'm Underwriting profit



Operating profit



N'm Profit before tax



- Underwriting profit recovered from the sharp decline recorded in 2016; returned a 304% increase to close at N1,536m for the period. Underwriting profit margin followed in the same upward curve at 16%.
- Growth in underwriting profit as well as relative stability in net claims experience and operating expense further supported the rebound in Operating profit for the period at N234m.
- ROA and ROE equally recorded positive growths in 2017 compared to the prior year at 6% and 9% respectively.

© WAPIC INSURANCE PLC

Outline

Financial Highlights

Income Statement Review

SOFP Review

Assets under Management

Statement of financial position

NGN million	FY'17	FY'16	%Δ
Cash and cash equivalents	1,745	2,220	-21
Financial assets	9,496	7,401	+28
Reinsurance assets	1,586	1,573	+1
Trade receivables	707	554	+28
Other receivables & Prepayment	1,062	1,145	-7
Investment property	313	540	-42
Investment in associate	8,264	7,174	+15
Fixed assets and intangibles	4,267	4,229	+1
Other assets	1,164	1,066	+9
Total assets	**28,605**	**25,902**	**+10**
Trade payables	516	236	+119
Provisions & other payables	1,459	1,320	+11
Current income tax liabilities	264	208	+27
Insurance contract liabilities	7,141	6,374	+12
Investment contract liabilities	1,064	920	+16
Total liabilities	10,647	9,336	+14
Equity	17,958	16,566	+8
Total equity & liabilities	**28,605**	**25,902**	**+10**

Highlights

- The need for portfolio realignment to take advantage of higher yielding assets led to the 21% drop in Cash and cash equivalent for the period.
- Growth in Financial assets reflects the company's switch from cash and cash equivalent to benefit from elevated yield in fixed income securities.
- Reinsurance Assets remained flat for the period at N1.59bn.
- The equity value of investment in Associate grew by 15% YoY to N8.3bn in 2017 driven by an increase the share of profit during the period.
- Investment Property further declined by 42%, in line with the company's strategic shift to higher-yielding assets. This depletion is expected to continue through 2018.
- Insurance and Investment contract liabilities grew by 12% and 16% respectively for the period following a growth in pure risks and investment-linked obligations during the period.

Note

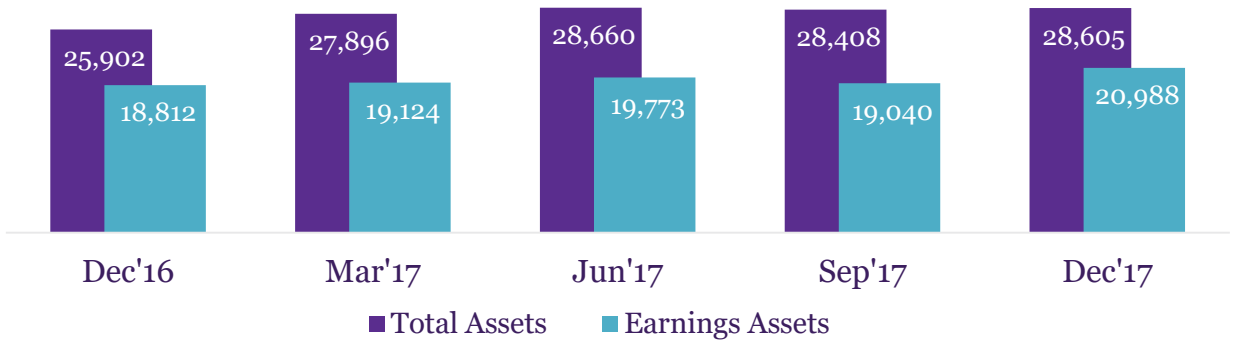
Other Assets= Deferred acquisition cost+ Deferred Tax asset +Statutory Deposits
Fixed Assets & intangibles= Property, plant & equipment + Intangible Assets

© WAPIC INSURANCE PLC

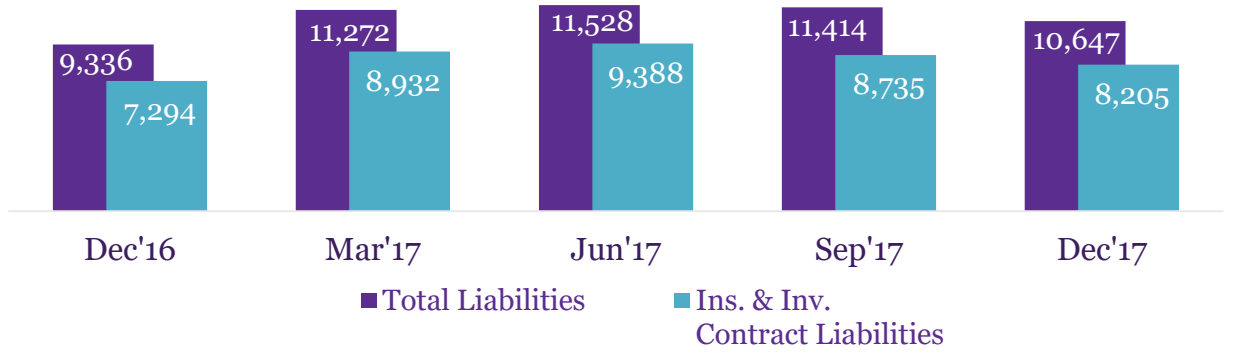
Highlights of financial position

NGN million

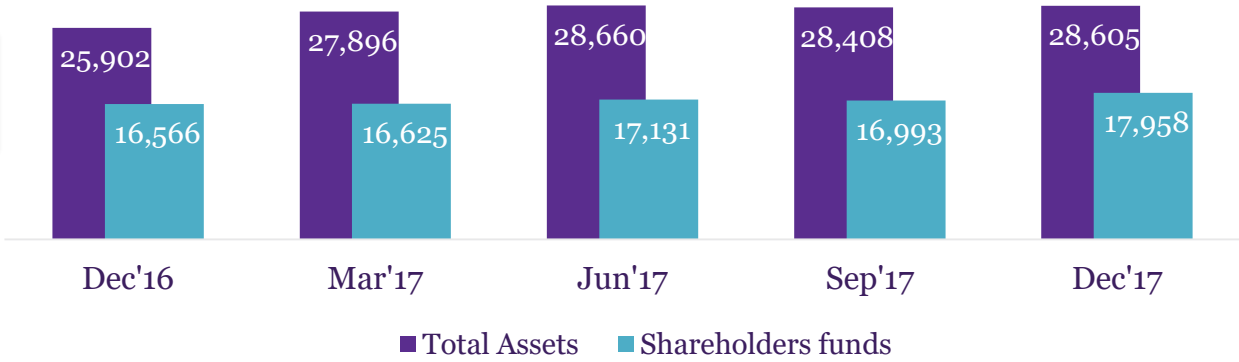
Total Assets & Earnings Assets



Ins. & Inv. Contract liabilities to Total Liabilities



Total Assets & Shareholders Funds



Highlights

- The ratio of Earnings Assets to Total Assets remained relatively flat YoY between 2016 and 2017 at 72.6% and 73.4% respectively.
- The Group's Total assets position grew by 10% to N28.6bn from the N25.9bn recorded in the prior period of 2016.
- Total liabilities grew by 14% to N10.6bn in the period under review against FY'16 position of N9.3bn. Largely driven by the growth in Insurance and investment contract liabilities recorded for the period.
- Shareholder's funds went up by 8% to N17.9bn as at Dec'17, from the N16.6bn position as at Dec'16.

© WAPIC INSURANCE PLC

Outline

Financial Highlights

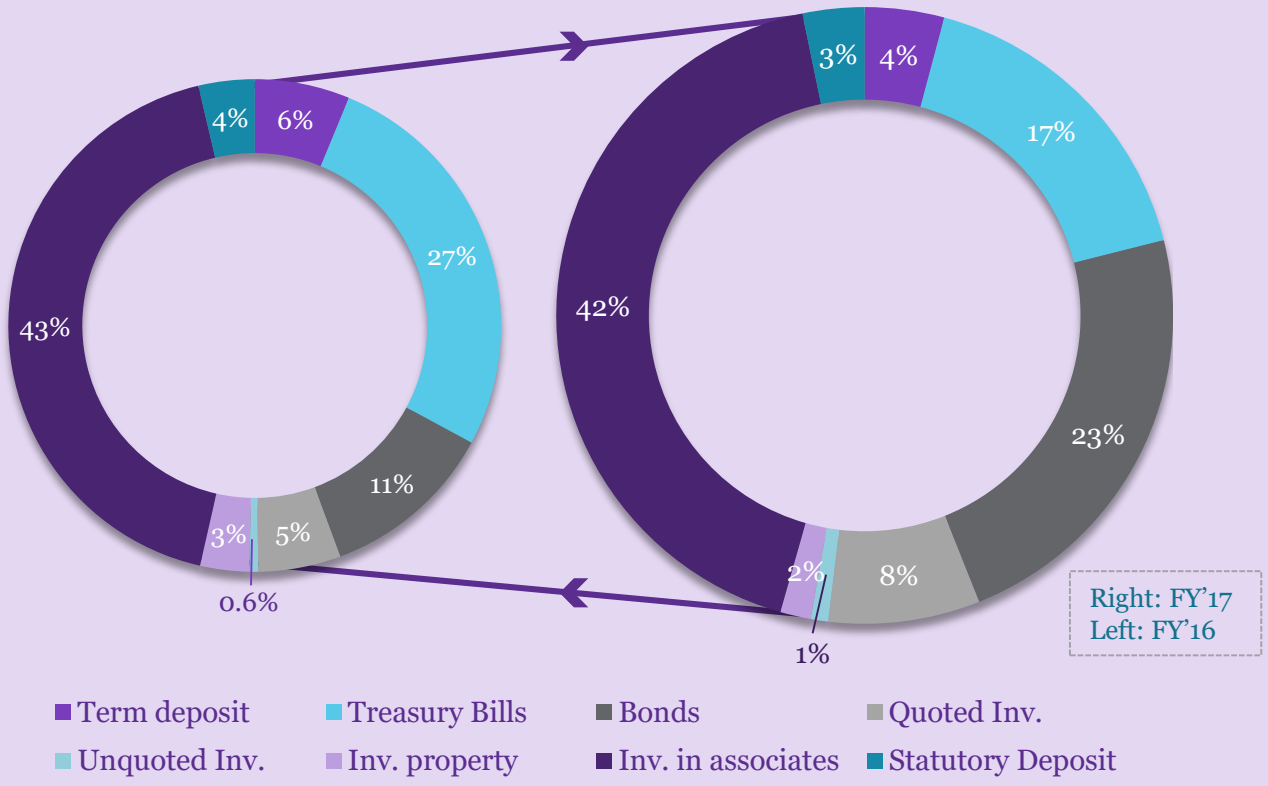
Income Statement Review

SOFP Review

Assets under Management

Assets under management

N'm	FY'17	FY'16
Term Deposits	812	1,048
Treasury Bills	3,301	4,471
Bonds	4,465	1,924
Quoted Investments	1,550	909
Unquoted Investments	180	98
Investment Property	313	540
Investment in Associate	8,264	7,174
Statutory Deposit	633	618
Total	**19,518**	**16,782**



- The Group's investment portfolio composition maintains a high allocation to the fundamentally strong associate and subsidiary as well as fixed income securities with high yield.
- The investment property portfolio reduced in line with the strategy to fully exit the underperforming legacy properties.
- Growth in the value of investment in associates reflects the Group's share of profit in CMB.
- Treasury bills and money market deposits were rebalanced to take advantage of uptick in yields.
- Overall improvements in the Capital Market impacted the growth in value of quoted investments for the period.

© WAPIC INSURANCE PLC

How we build for the future

FINANCIAL	▪ We continue to proactively drive for a solid solvency margin as we await the likely regulatory change in capital adequacy rules. ▪ We expect continued growth in premium performance in line with our strategic year-on-year growth expectations. ▪ We shall maintain a continuous focus on cost optimization and efficiency initiatives throughout the business in order to meet our strict target cost-to-income ratio.
OPERATIONAL	▪ We have transformed our corporate website into a world class e-business platform and customer experience touch point to enable sales and enhanced customer engagement. ▪ We are set to launch a self-service omni-channel platform for customers to conveniently connect with us. This will deliver growth in premium, increase customer satisfaction index, as well as improved service delivery and internal efficiency. ▪ We have established a Digital Division which will drive the group's digital strategy including digital marketing, channels management and data analytics & intelligence.
SALES	▪ We expect a further deepening of our retail insurance penetration country-wide, as we continue to grow our customer base. ▪ We would optimize the Wapic Life offerings with the launch of new products such as annuity, funeral insurance, etc. ▪ We have rolled out plans for a full implementation of our Bancassurance model in all major sales capitals across the country in line with growth opportunities.
PEOPLE	▪ We are committed to being a great place to work. We remain focused on a performance driven organization, with significant improvements in employee engagement initiatives anchored by staff, for staff. ▪ As a foundation to our strategic drive for the best talent in the industry, our investments in talent development are expected to manifest in productivity gains. ▪ We are inculcating the behaviors, culture and innovation associated with leading customer experience providers.

© WAPIC INSURANCE PLC

Disclaimer

The information presented herein is based on sources which Wapic Insurance Plc (The “Company”) regards dependable.

This presentation may contain forward looking statements. These statements concern or may affect future matters, such as the Company’s economic results, business plans and strategies, and are based upon the current expectations of the directors. They are subject to a number of risks and uncertainties that might cause actual results and events to differ materially from the expectations expressed in or implied by such forward looking statements. Factors that could cause or contribute to differences in current expectations include, but are not limited to, regulatory developments, competitive conditions, technological developments and general economic conditions. The Company assumes no responsibility to update any of the forward looking statements contained in this presentation.

The information should not be interpreted as an advice to customers on the purchase or sale of specific financial instruments. Wapic Insurance Plc bears no responsibility in any instance for loss which may result from reliance on the information.

Wapic Insurance Plc. holds copyright to the information, unless expressly indicated otherwise or this is self-evident from its nature. Written permission from Wapic Insurance Plc is required to republish the information on Wapic Insurance or to distribute or copy such information. This shall apply regardless of the purpose for which it is to be republished, copied or distributed. Wapic Insurance Plc’s customers may, however, retain the information for their private use.

Transactions with financial instruments by their very nature involve high risk. Historical price changes are not necessarily an indication of future price trends. Investors are encouraged to acquire general information from Wapic Insurance Plc or other expert advisors concerning securities trading, investment issues, taxation etc in connection with securities transactions.

The Information contained in this presentation is subject to, and must be read in conjunction with, all other publicly available information, including, where relevant, any fuller disclosure document published by the Company. Any person at any time acquiring the securities must do so only on the basis of such person’s own judgment as to the merits of the suitability of the securities for its purposes and only on such information as is contained in public information having taken all such professional or other advice as it considers necessary or appropriate in the circumstances and not in reliance on the information contained herein. The information is not tailored for any particular investor and does not constitute individual investment advice.

Q&A

© WAPIC INSURANCE PLC

Appendix

© WAPIC INSURANCE PLC

Appendix: Historical performance (Group)

The Group has recorded Improved historical topline growth over the past five years with 21% CAGR in gross premium income as at FY 2017

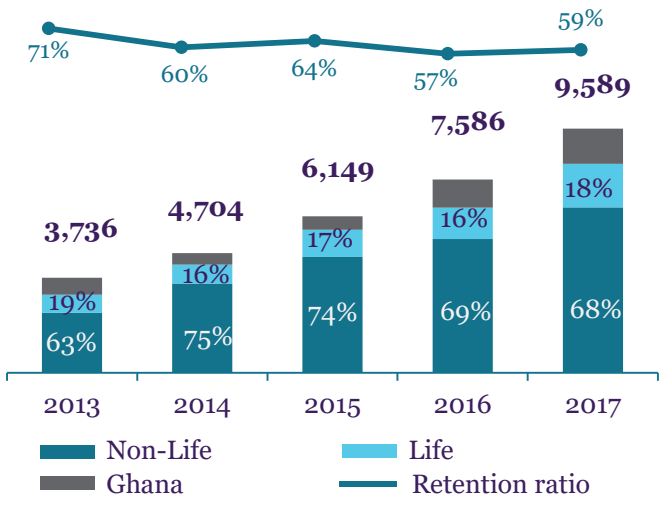
Ghana's contribution to the group's GPI has averaged 13% over the past 5 years

The Life subsidiary closed at an underwriting profit position of N70m in FY'17, bouncing back from the negative result in the previous year.

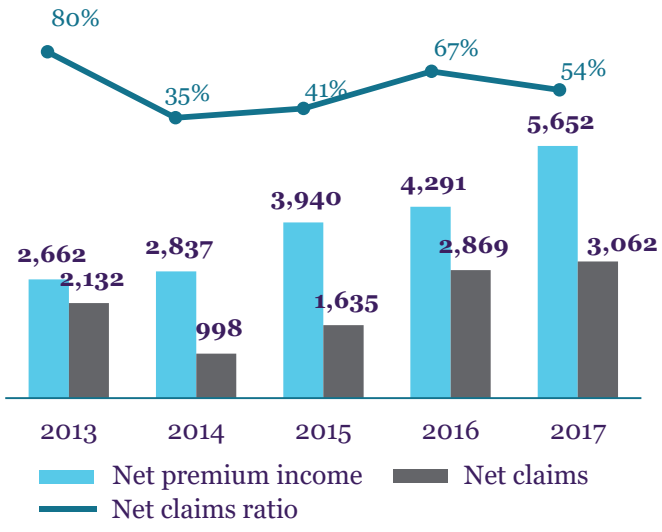
PAT up by 159% to N1,517m in FY'17 (FY'16: N586m) driving the profit margin ratio up to 15% from 7%.

Return on equity grew to 8% in FY 2016

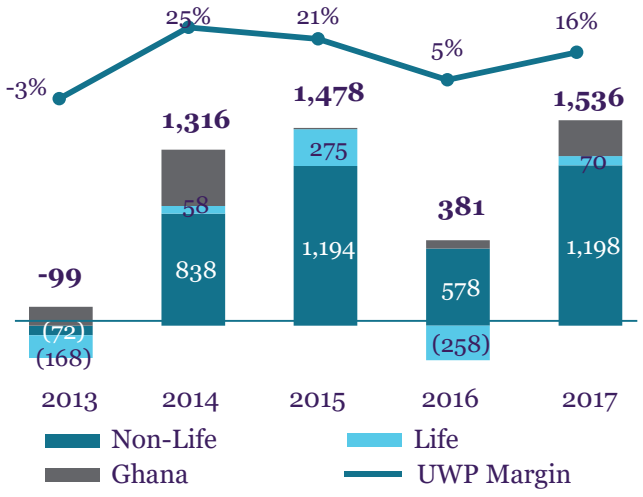
Gross premium income (N'm)



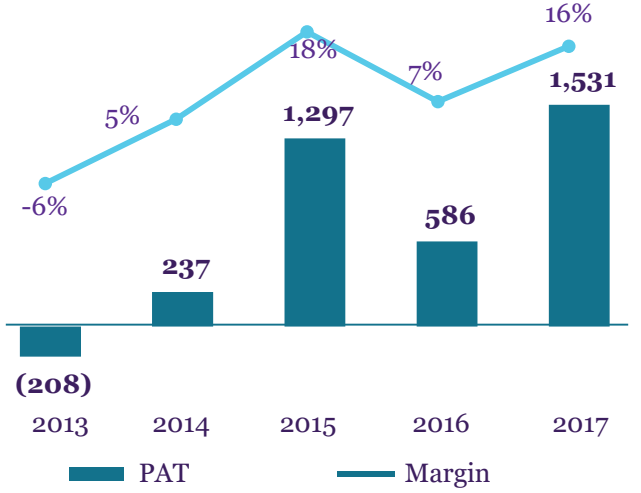
Claims trend (N'm)



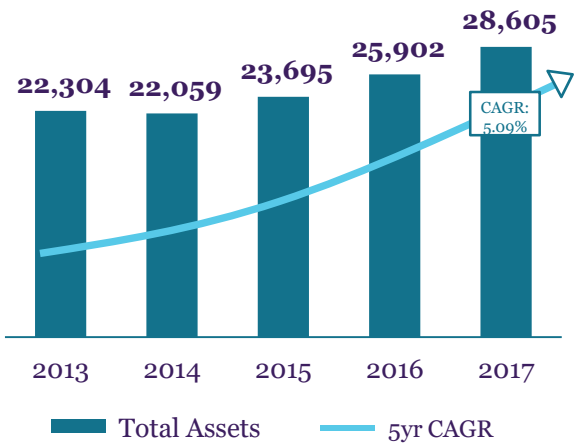
Underwriting profit (N'm)



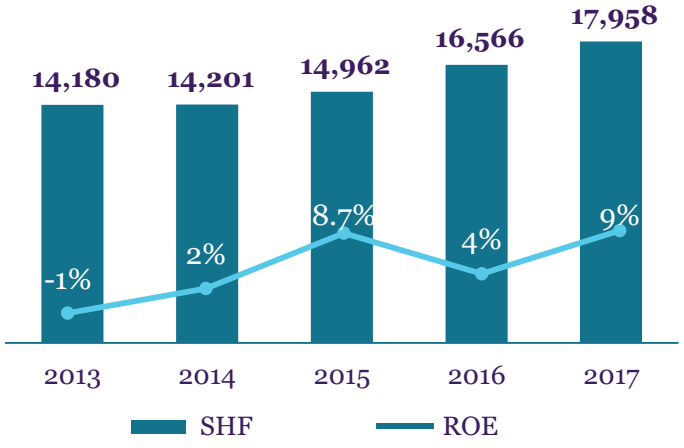
Profit after Tax (N'm)



Total Assets (N'm)



Shareholders funds (N'm)



© WAPIC INSURANCE PLC

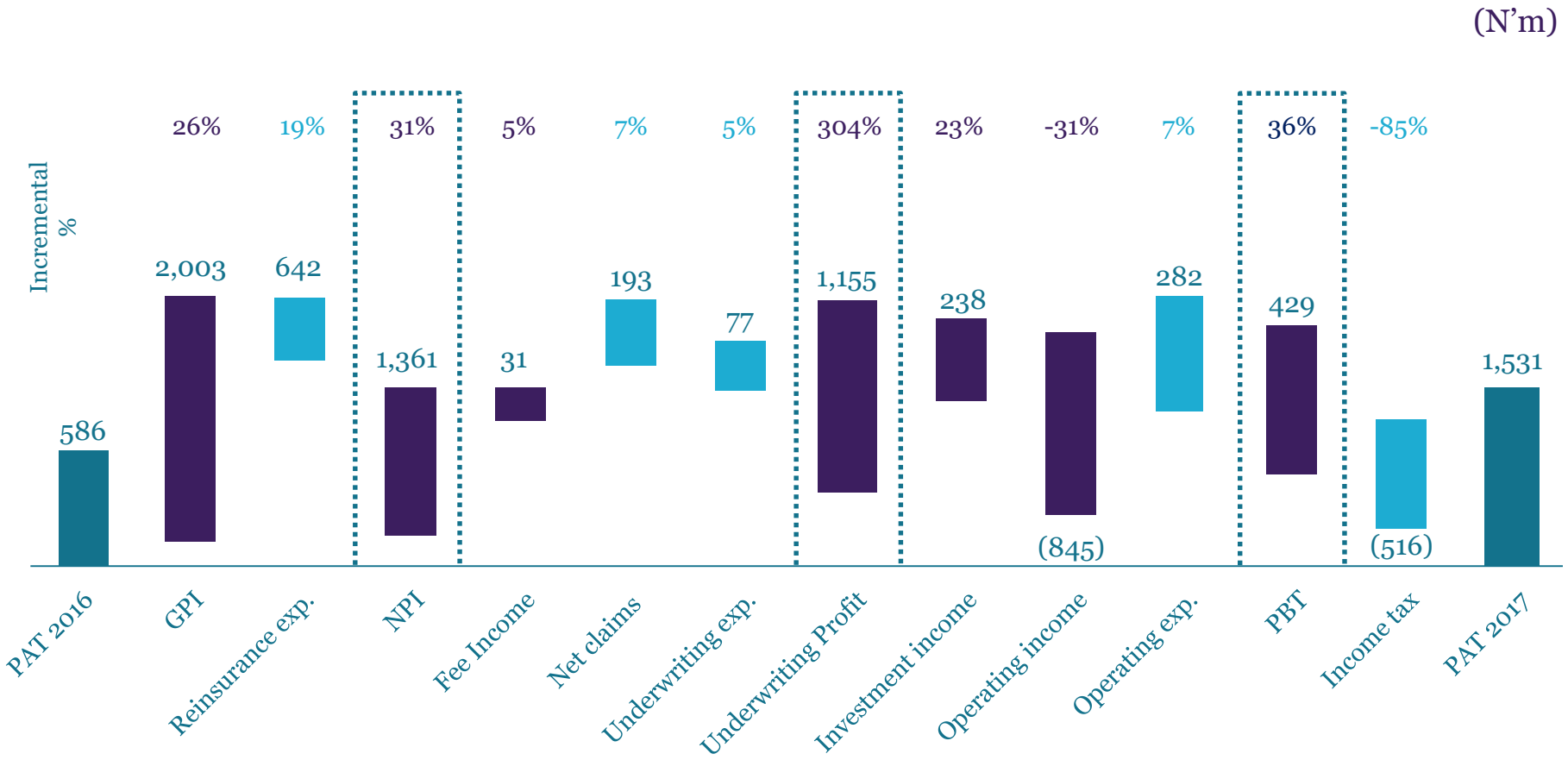
Appendix: Group growth in context

Our double digit strategic growth plan in our topline figures continues to pay off, as GPI grew by 26% YoY in FY 2017.

A laudable 304% growth in total underwriting profit was experienced during the year.

Improved risk selection process continues to payoff as growth in net claims expense is minimal for the period.

Growth in operating income further helped strengthen the bottom line position.



*Operating income comprises profit on investment contracts, Net realised (loss)/gain on assets at fair value through profit and loss and other operating income.

© WAPIC INSURANCE PLC

For further inquiries:

Wapic Insurance Plc.
119 Awolowo Road , Ikoyi.
Lagos , Nigeria
M: 0700DialWapic
T: 012774500 /4566 /4555
http://www.wapic.com

Oluseyi Taiwo

Chief Financial Officer

E: Oluseyi.Taiwo@wapic.com
T: +234 1 277 4500
Ext: 4910

Email: strategy&investorrelations@wapic.com
Website: www.wapic.com
Phone: 012774500 /4566 /4555

© WAPIC INSURANCE PLC